

## FUND WINS TAX CASE

### U. S. Fails in Claim for \$5,311 —Gifts Held Tax-Free

WASHINGTON, June 13 (AP)—The United State Tax Court today ruled out an attempt by the Internal Revenue Service to collect \$5,311 income taxes and penalties on contributions received by the bail fund of the Civil Rights Congress of New York from 1947 through 1950. The court held the gifts were tax-free.

At the same time, the court held that the fund could not deduct from its investment income, which is taxable, the "loss" of the entire \$23,500 bail bond which it had put up for Gerhart Eisler, Communist leader. The money was forfeited when Mr. Eisler fled to East Germany in May of 1949.

Mr. Eisler was under bond while appealing convictions for passport fraud and contempt of Congress.

The bail fund is associated with, but operated separately from, the Civil Rights Congress.